

// the blanks a lawyer cannot fill for you

Decisions Needed

the Collective Legal Package — Decisions & Facts Needed

Fill these in before (or alongside) sending v0.1 to the commercial/IP lawyer. Every blank answered = a one-pass review instead of three. Prepared 2026-07-07.

01 1. Threshold — decide first (gates everything else)

#	QUESTION	STATUS / KADE'S ANSWER
1.1	Incorporate a Pty Ltd before signing partners? Sole trader = unlimited personal liability under the indemnities, IP warranties, and health-data obligations in this package. Recommend discussing with lawyer and accountant .	Kade's position (2026-07): START as sole trader now — not yet trading at scale, not GST-registered — and incorporate a Pty Ltd once revenue/partners ramp . Still want Oliver's express view on whether to incorporate before the first partner signs , given the liability surface (health data + "locked for life" to 10 partners). Raise as Q0.
1.2	IP structure (locked preference) . Kade retains IP ownership personally ; the operating company takes a head licence with the right to sublicense , and sublicenses to partners. IP is NOT assigned into the company. Head licence drafted (HEAD_LICENCE_DEED_v0.1).	Kade's structure from prior companies
1.3	Head licence terms (in HEAD_LICENCE_DEED_v0.1): (a) exclusivity — sole/exclusive field-limited to Body Recode vs non-exclusive; (b) royalty/consideration Company→Owner (LEGAL + ACCOUNTANT : arm's-length, Div 7A); (c) improvements consolidated back to Owner.	[] — recommend (a) sole/field-limited; confirm (b) with accountant; (c) yes

Incorporation — cost + steps (for the accountant conversation)

The company is cheap; the structuring advice is the real spend. (AU, approximate — ASIC's fee is indexed every 1 July; confirm current figures.)

ITEM	COST
ASIC registration fee (government)	~\$600 one-off
All-in via online service (EasyCompanies / Cleardocs / Lawpath) — ASIC fee + constitution + registers + ABN/TFN/GST	~\$600–1,000 one-off
Via accountant (adds setup + advice)	~\$800–1,500 one-off
Ongoing: ASIC annual review fee	~\$320/year
Ongoing: company tax return	~\$1,000–3,000/year
Structuring advice (accountant + lawyer): IP-holding chain, head-licence royalty flow, Div 7A — the spend that matters	~\$1,000–3,000 one-off

Steps if you proceed: (1) accountant/lawyer confirm the structure (IP stays with Kade → head licence → company); (2) register the Pty Ltd (name, director(s), shares, registered office); (3) ABN/TFN/GST; (4) execute the **Head Licence** (Kade → Co); (5) swap the party + execution blocks in this pack from sole trader → Pty Ltd.

02 2. Facts to supply (the lawyer can't invent these)

#	FACT	KADE'S ANSWER
2.1	Operating entity name + ABN	✓ Kade Robert Dunstone , sole trader t/a Body Recode, ABN 90 535 525 708
2.2	Registered business address	Brisbane — address TBC (Kade moving the registered address to Brisbane; docs carry a Brisbane placeholder until confirmed)
2.3	Trade mark status	NOT STARTED yet. Marks + classes to file are listed below and in <code>IP_PROTECTION_MAP</code> .
2.4	Typical partner entity type (for execution blocks)	Mostly sole traders / trusts , some Pty Ltd
2.5	GST registered?	No — not GST-registered (under the \$75k turnover threshold). Will register when required or on incorporation. No GST is charged now; Agreement cl 6.5 already future-proofs this (GST added only "at the prevailing rate" once registered).

2.3 — Trade marks to file (the list you asked for)

FILE	MARK	PRIORITY
"Body Recode"	word mark (protects the name in any font)	#1 — do first
Body Recode / BR logo	device (logo) mark	#2
"Powered by Body Recode"	lockup — usually covered by the word mark; file separately only if you want the exact lockup protected	optional
"Fat Map" (+ any signature doctrine terms used publicly)	word mark(s)	your call — flag which

Classes (Nice classification): **9** (downloadable software/apps), **42** (SaaS / online software — core), **41** (coaching, education, training, fitness — core), and consider **44** (health / nutrition / wellness advisory). File via **IP Australia**, or (better) let the **IP lawyer run a clearance search first** then file — cheaper than a rejected application. Rough cost: ~\$250–330 per class per mark. *Separate brands (Body Recode Collective / Arete Protocol) are separate filings — not part of this pack.*

03 3. Commercial decisions (the lawyer needs your call)

#	DECISION	WHERE	OPTIONS / RECOMMENDATION	KADE'S ANSWER
3.1	"Active Client" definition — what triggers the \$20 fee	Agmt cl 1	Bill per paying active client vs any active record.	✓ Paying clients only (Agmt cl 1 updated — free trials/intakes excluded)
3.2	Sub-User included seats + add-on price	Agmt 8.1	—	✓ 3 included (partner + 2), more by arrangement (Agmt 8.1). <i>Add-on price TBD — suggest nominal, e.g. \$15–20/seat/mo, or waive; sub-users aren't the revenue lever.</i>
3.3	Insurance minimums partner must hold	Agmt 7.1(g)	—	✓ PI \$5m / PL \$10m (Agmt 7.1(g) updated)
3.4	SLA — uptime commitment	Agmt 5.2	—	✓ Yes — 99.5%/month + pro-rata credit (Agmt 5.2 updated)
3.5	Late-payment step before full suspension	Agmt 6.6	—	✓ Gentler step added — block new-client creation at 14 days, full suspension at 30, with notice (Agmt 6.6)
3.6	Setup fee refundability carve-out on BR-caused termination	Agmt 6.2 vs 14.4(e)	—	✓ Keep the carve-out — it only triggers if BR is at fault (partner terminates for BR's cause in the

#	DECISION	WHERE	OPTIONS / RECOMMENDATION	KADE'S ANSWER
				Initial Term); fair goodwill, low risk to you. No change needed.
3.7	"Powered by Body Recode" attribution — mandatory or optional	Deed cl 5.2/5.3, Sch 2B	DECIDED: mandatory but subtle — required in footer of client-facing pages + emails, never above the fold. Drives the B2B engine flywheel. Deed updated.	Kade 2026-07-07
3.8	the Collective = early partners, NOT a cap on the business	Cover note + Agmt Recital B / cl 3.4 + Deed Recital B + Head Licence defs	The ten is a first, proof-of-concept cohort — locked-for-life founding pricing genuinely limited to 10 — used to gather real-world data and develop the software for the next stage. The Platform is not capped : BR opens it to further partners at standard rates afterward. Drafting must NOT grant any partner permanent, territorial, or numeric exclusivity.	✓ Confirmed (Kade 2026-07) — reframed in cover note + all recitals; Oliver to pressure-test the exclusivity wording so scaling stays open while founding pricing survives
3.9	Setup fee payment split — when the setup fee is due	Agmt cl 6.2 + Sch 1 Item 4	DECIDED: 50% on signing (Commencement Date) + 50% on Setup Completion (Instance go-live/handover), unless otherwise agreed in writing. Changed from full amount upfront.	✓ Confirmed (Kade 2026-07) — cl 6.2 rewritten; "Setup Completion" defined as go-live/handover. Oliver to confirm the milestone wording is objective enough to trigger the second invoice cleanly

04 4. Substantive flags for the lawyer (they'll opine — listed so nothing's missed)

- **Health / sensitive data.** Client Data includes medications, injuries, blood panels = **"sensitive information"** under the Privacy Act — higher consent bar than general APP. Biggest liability surface. (Cover note item 4.)
- **ACL \$100k threshold.** Consumer guarantees likely apply despite business context — don't assume they don't. (Cover note item 5, now reframed.)
- **Engine trade-secret protection.** No-reverse-engineer-from-output + no-training-corpus clauses (Deed 3.4, 4.1, 10.2) — confirm enforceable. The whole ballgame.
- **"Locked for life" through a sale** (Agmt 3.2 + 17.4) — confirm it binds an acquirer.
- **Deed vs simple contract** execution (Cover note item 10) — recommend deed (12-yr limitation).

05 5. Drafting fixes already applied to v0.1 (FYI)

- Removed duplicate clause 9.4/9.5 in the Agreement (merged into one 9.4).
 - Reframed the ACL note in the cover note (was a wrong assumption).
 - Added ENTITY NOTES to both party blocks flagging sole-trader reality + IP-assignment need.
 - Added the entity + TM-pending threshold question to the cover note.
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Once 1–3 are answered, this package is ready for the commercial/IP solicitor. Return target: redlined v0.2 → Kade review → v1.0.